

Centre of Full Employment and Equity

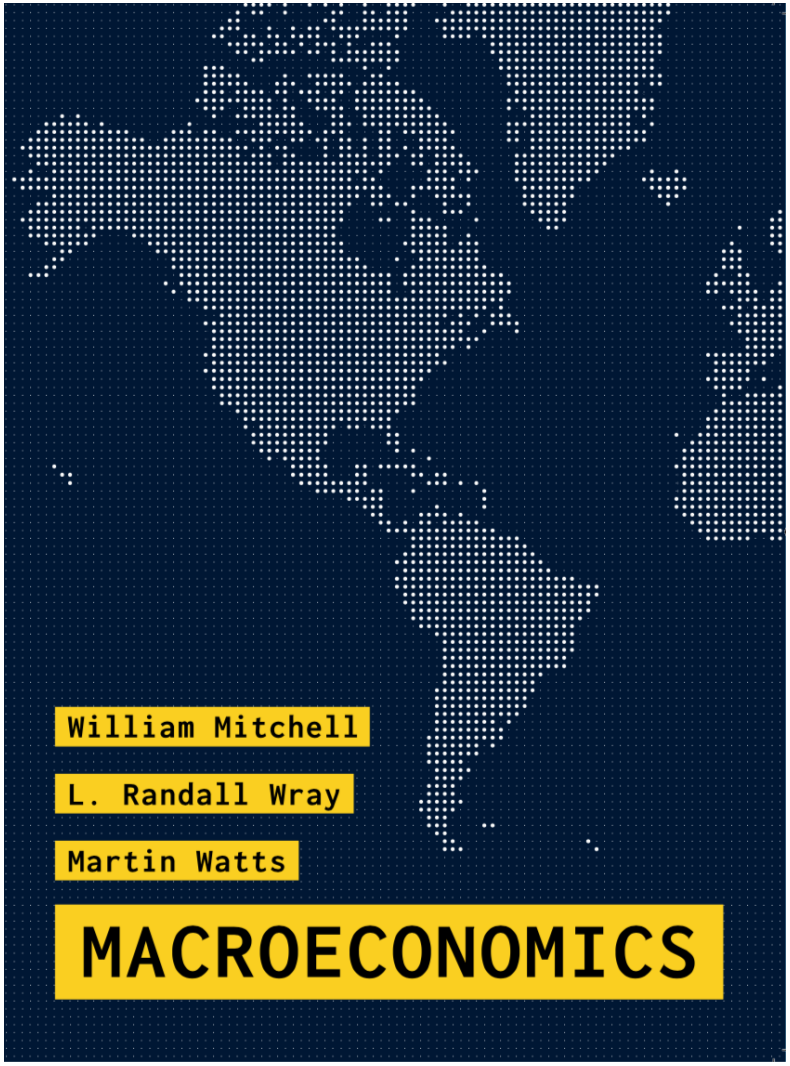
Introduction to Modern Monetary Theory

Professor William Mitchell

University of Newcastle

Australia

http://www.billmitchell.org



33 Chapters

Over 600 pages

Two semester sequence in Macroeconomic theory and practice

MMT focused from inception

Now available

Published by Macmillan-Palgrave

Whereas noted economists from across the political spectrum have warned that the implementation of Modern Monetary Theory (referred to in this preamble as "MMT") would pose a clear danger to the economy of the United States;

Larry Summers: Modern Monetary Theory is 'grotesque'

Politics

Senate Has a Duty to Denounce MMT, Republicans Say in Resolution

Economics

BlackRock CEO Larry Fink Says Modern Monetary Theory Is 'Garbage'

Modern Monetary Nonsense

Mar 4, 2019 | **KENNETH ROGOFF**

Fake knowledge …

- Mainstream macroeconomists became very smug in the 1980s and 1990s.
- They were blithely unaware of reality:
  - ‘Efficient markets’.
  - Business cycle is dead.
  - The Great Moderation (Bernanke).
  - New Keynesian models - ‘money didn’t matter’.
- They failed to anticipate or predict the GFC.

Mainstream economics crippled by Groupthink

- Degenerative paradigm.
- Mob rule filters out dissent – graduate programs, publications, grant distribution, promotion, etc.
- Graduates with socio-pathological tendencies.
- Denial paramount.

Basic myths …

- The government is like a household.
- ‘Printing’ money is inflationary.
- Deficits drive up interest rates – crowding out.
- Fiscal surpluses contribute to national saving.
- Fiscal space defined by financial ratios.
- QE increases capacity of banks to make loans.

Fiscal sustainability

- Fiscal sustainability cannot be defined in terms of some financial ratios and targets that the currency-issuing government cannot realistically achieve anyway.
- Fiscal sustainability is about context.

Depoliticisation …

- Central bank independence myth.
- Local government austerity.
- IMF.

Funding non-government savings

- Government surpluses equal non-government deficits.
- Government deficits equal non-government surpluses.
- Concept of government ‘saving’ is nonsensical.

Lens versus values

- MMT is a not a ‘regime’ that we can 'go to’.
- MMT is a lens for achieving a better understanding of how the monetary system operates and the capacities that a currency-issuing government has.
- It exposes myths that are used to suppress those capacities and options.
- Exposes the veil of ideology
- Policy requires us to overlay our value judgements on this understanding.

Having your own currency means …

- That a currency-issuing government can, intrinsically, purchase anything that is for sale in that currency, including all idle labour.
- There is no financial constraint facing such a government.
- It means that the government chooses the unemployment rate.
- It doesn’t mean that the government can purchase unlimited quantities of goods and services without consequence.

Having your own currency doesn't mean …

- That the nation will be richer.
- Within the resources available, the government can ensure those resources are fully employed.
- The nation may remain poor if there are limited real resources.

- Job Guarantee versus UBI

Buffer stock options …

- A currency-issuing government which aims to stabilise prices has two available buffer stock options:
  - Unemployment buffer stocks (NAIRU approach).
  - Employment buffer stocks (Job Guarantee approach).

Unemployment buffer stocks

- Unemployment - a policy instrument rather than a policy target.
- Disciplines spending and/or distributional struggle.
- Extremely costly approach - huge net income losses.
- Huge social costs.
- Buffer stock deteriorates – lessens effective supply.
- Encore?

Benefits of full employment …

- Income stability.
- Personal risk management.
- Psychological well-being (social inclusion, self esteem etc).
- Training and skill development in a paid-work context.
- Poverty alleviation.
- Community building.
- Intergenerational stability.

Employment buffer stocks …

- Job Guarantee – an unconditional and universal offer of a public job at a socially inclusive minimum wage to anyone who wants to work.
- Represents the minimum government spending necessary to achieve “loose” full employment – hiring off the bottom.
- There is only one MMT Job Guarantee!

In-built inflation control …

- The JG is more than a job creation scheme.
- Government buys ‘off the bottom’ when private sector is contracting.
- It is a high quality anchor – maintains an effective labour supply.

Some micro benefits…

- Reduces the hiring costs to private business.
- Reinforces intergenerational advantage.
- Can provide career and training paths.
- Has spatial advantages - can underpin community development.
- Can support environmental sustainability.
- **It is not the panacea to everything**.
- But it is better than the unemployment buffer stock option.

What is the real cost of the JG?

- How can government afford it?
- Nominal entries in fiscal statements ('budgets') are not costs.
- Whether it is 10 billion or 100 billion is not indicative.
- True costs are the real resources that are used in such a program – food, materials.

Other criticisms …

- Workfare?
- Administratively impossible.
- Boondoggling – jobs are not real.

Radical nature of Job Guarantee …

- Re-evaluating meaning of productivity.
- Allows a host of activities that do not support capitalist profit to be considered worthwhile and productive.
- Income guarantees are inferior solutions to mass unemployment.

Why not a Basic Income Guarantee?

- Surrenders to the neoliberal myth that government can do nothing to create more employment.
- Individualistic rather than collective approach.
- No nominal anchor.
- Creation of passive consuming agents.
- More to work than income.

Lexit and the EU

- EU issues.

END OF TALK